

GLOBALISATION FACT SHEET

ISSUES

- Globalisation is the buzz word for the twenty-first century, but it has no clear cut definition.
- The WTO, IMF and World Bank are the three international economic organization responsible for ensuring global economic integration through free trade, the rapid spread of technology and consumption.

Globalisation

Refers to the process of integrating the global economy; also known as economic globalisation:

Economic “globalisation” is a historic process, the result of human innovation and technological progress. It refers to the increasing integration of economies around the world, particularly through trade and financial flows.

-International Monetary Fund

THE GLOBAL MANAGERS



HQ: Geneva
Establishes rules for world trade, reduces trade barriers, administers trade agreements and handles trade disputes between nations (www.wto.org)



The International Monetary Fund

HQ: Washington
Promotes international monetary co-operation, exchange stability and orderly exchange arrangements. The IMF also provides temporary financial assistance (www.imf.org)



World Bank

HQ: Washington
One of the world's largest sources of development aid, provides \$17.3 billion US in loans and works in more than 100 developing countries (www.worldbank.org)

Winners and Losers of Trade

High-income countries expect to gain more than twice as much as the rest of the world, while Africa actually loses. Trade barriers in the North cost the economies of the South an estimated \$100 billion a year – at least double the amount of development aid.

Sources: Secretary-General's report to the UN Preparatory Committee on Financing for Development, January 2001; John Madeley, *Trade and the Poor*, Intermediate Technology, 1996 quoting OECD figures; *New Internationalist* 334: WTO - The Facts (May 2001)

Globalization has the potential to lift millions of people out of poverty, but experience in developing countries tells us that the gap between rich and poor is growing, while corporations and developed countries are increasing their wealth.

Before you finish eating breakfast this morning, you depended on more than half the world.
- Martin Luther King, Jr.

TERMS OF TRADE

Many of the world's poorest economies have been forced to export more and more basic, 'primary' commodities - like metal ores, or coffee and foodstuffs - by the 'structural adjustment' policies of the World Bank and the IMF. Markets for these primary exports have been flooded. As a result, the prices of these commodities have fallen, while the prices of the things they import, mostly from rich countries, have risen.

DID YOU KNOW?

2/3 of international trade is accounted for by just 500 corporations

Of the world's 100 largest economies 51 are corporations

The top 200 corporations' combined sales are bigger than the combined economies of all countries minus the top 10

The top 200 corporations increased their share of total sales in services from 34% in 1983 to 47% in 1999

CORPORATE POWER

- The combined sales of the world's 200 corporations are equal to 26% of the world's Gross National Product
- BUT these same top 200 employ less than 0.75% of the world's workforce
- Global retailers like Coca Cola, Procter & Gamble, Philip Morris, Kellogg, PepsiCo, Nestle, KFC and McDonald's spend billions of dollars on advertising and promotion each year to create a global market based on mass consumption
- Some schools in Canada have even partnered with the Youth News Network - a corporate initiative that sells advertising spots on a 10 minute news program which is then shown in schools

Country or Corporation	GDP or Total Sales \$ millions US
GM	176 558
Denmark	174 363
Wal-Mart	166 809
Exxon Mobil	163 881
Fod Motor	162 558
DaimlerChrysler	159 985
Poland	154 146
Norway	145 449
Saudi Arabia	128 892
Finland	126 130
Thailand	123 887
Mitsubishi	117 765
General Electric	111 630
Portugal	107 716

Source: Sarah Anderson and John Cavanagh (2000) "The Top 200"
Washington: Institute for Policy Studies.

In the last four years of the millennium the amount of people living in abject poverty world wide increased by 200 million. In those same four years, the world's 200 richest people doubled their wealth.

(Global village or global pillage)